

Balanzify POS — Somaliland GST Compliance Specification

Version: 1.0 | **Date:** July 14, 2026 | **Status:** Working draft — open items flagged in Section 7

1. Context and Timeline

- Somaliland's GST reform was announced June 7, 2026: rate cut from 5% to 2.5%, tax base broadened, and collection moving to an electronic system integrated with digital payment platforms.
- Implementation was postponed from July 11 to **August 1, 2026** after negotiations between the Ministry of Finance and the Somaliland Chamber of Commerce.
- The Ministry of Finance's published GST guidance still reflects the pre-reform law (Revenue Act 2016). Amended regulations defining the new base and the electronic collection specification are **not yet publicly available**. This spec separates what is confirmed law from what must be verified on the ground.

2. Confirmed Requirements (Revenue Act 2016 + Ministry Guidance)

2.1 Tax Rate

- Statutory rate under the old law: 5% (sections 152 and 164). Reformed rate: **2.5%** (announced June 2026). Exported goods: **0%**.
- **Requirement:** the GST rate **MUST** be a configuration value, never hardcoded. It changed once this year and could change again. Support effective-date versioning so historical transactions retain the rate in force at time of sale.

2.2 GST Invoice — Mandatory Particulars

Every GST invoice/receipt must contain all seven of the following:

1. The words "**GST invoice**" in a prominent place

2. Name, address, and **taxpayer identification number (TIN)** of the supplier
3. An **individualized serial number** and the date of issue
4. Description of goods or services supplied, including quantity or volume
5. Date(s) of delivery or service performance
6. Amount paid for the supply
7. **Amount of GST charged** (broken out as its own line)

Requirement: audit the current receipt template against all seven. Sequential, gap-free invoice numbering per registered business is required — verify the numbering scheme survives offline operation and multi-terminal sync without collisions or gaps.

2.3 Invoice Timing

- Goods: invoice issued at the **earlier of** payment (or partial payment), delivery date, or shipment date.
- Services: invoice within **10 days** of performing the service; for periodic payments, at least 5 days before each due date.
- The invoice date determines which monthly return the supply is reported in.

2.4 Filing and Payment

- Monthly return (**Form 09**) and payment due within **21 days** after the end of each month.
- Late filing: penal tax of 2% of tax payable or USD 100 per month, whichever is greater. Late payment: 2% per month on the unpaid amount.
- Large taxpayers file at IRD HQ in Hargeisa; medium/small taxpayers file at any IRD regional/district office.
- **Requirement:** auto-generate a completed Form 09 from the month's transaction data. Build a compliance calendar with merchant alerts ahead of the 21-day deadline. Note: imported goods are excluded from Form 09 (GST on imports is collected by Customs).

2.5 Registration

- Threshold: annual taxable supplies of **5,000,000 SLSH** or more. Registration required within 21 days of crossing (or expecting to cross) the threshold. Voluntary registration allowed below it.

- Failure to register: USD 1,500 penal tax; conviction can carry fines up to USD 2,000 or imprisonment.
- Registration certificate must be **publicly displayed** at the principal place of business, with copies at every branch (USD 500 penalty otherwise).
- **Requirement:** rolling 12-month taxable-supplies tracker with a threshold-approach alert. Store the merchant's TIN and registration status in the business profile; TIN prints on every GST invoice.

2.6 Exempt Goods (section 153(7)) — must map to product categories with 0% treatment

- Foodstuffs for human consumption (NOT when served as a meal or as cooked/prepared food — restaurant sales are taxable)
- Foodstuffs for educational and philanthropic institutions
- Computers, computer accessories, and software
- Goods for disaster/humanitarian relief
- Pharmaceuticals and medicinal preparations (if customs-duty exempt on import) — **directly relevant to the Pharmacy module**
- Medical aids/appliances for illness or disability (if customs-duty exempt on import)
- Textbooks and instructional materials for schools/adult education (if customs-duty exempt on import)
- Raw materials, inputs, and capital goods supplied to registered manufacturers (and mining/forestry businesses)

2.7 Taxable Services (section 165)

Electricity; telecommunications; water supplied for a fee; hotel board and lodging; restaurant meals and beverages; international transport ticket sales (air, sea, land); travel agency services; sporting/game event ticketing. **Note:** hotel and restaurant services are taxable — relevant to the Hotel and Restaurant modules.

2.8 Scope Caveat — Old Law vs. Reform

Under the Revenue Act 2016, GST applies only to **manufacturers, importers, and the listed services — NOT to wholesalers or retailers**. The June 2026 reform “broadens the tax base,” which most likely extends GST to retail (the apparent trigger for merchant protests), but the amended scope is **unconfirmed**. The POS must support both models

via configuration: per-business-type GST applicability flags.

3. Reform Elements — Announced but Unspecified

Element	Status	Build implication
2.5% rate	Announced by Ministry	Config change (see 2.1); fixes known QA bug showing 5%
Electronic collection integrated with digital payment platforms	Announced; no technical spec published	Fiscalization adapter (Section 4)
Broadened tax base	Announced; scope undefined	Configurable applicability flags (see 2.8)
Two foreign vendors (reportedly Bulgarian) handling collection	Unverified market information	If true, likely a fiscal-device model (certified registers/fiscal printers reporting to the tax authority). Do not build against this until confirmed

4. Fiscalization Adapter (Architecture Requirement)

Because the collection spec is unknown, isolate fiscalization behind a single pluggable interface:

- Every **finalized** sale passes through the adapter before receipt printing; the adapter returns fiscal identifiers (e.g., signature, QR payload, device receipt number) to include on the receipt.
- Ship a **stub adapter** now that logs an e-invoice-shaped payload (seller TIN, invoice serial, line items, GST amount, timestamp) for every sale.
- Design for three possible target implementations without core changes: (a) local fiscal printer/device protocol (Bulgarian vendors such as Datecs publish documented ESC/POS-style fiscal protocols), (b) government e-invoicing REST API, (c) signed QR-coded receipts.
- Adapter must queue and retry when offline; a sale must never be blocked by fiscalization downtime, but unsynced fiscal events must be visible in an admin queue.

5. Environment Requirements

- **Offline-first:** full sale flow works without connectivity; sync on reconnect; invoice serials must remain gap-free across offline periods.
- **Somali-language UI** as a first-class locale across the sale flow, receipts, and compliance screens.
- **Dual currency:** SLSh and USD pricing and settlement, with GST calculated correctly in either.
- **Tender types:** ZAAD and eDahab recorded as distinct payment methods alongside cash and bank.
- **Hardware:** verified on low-cost Android devices actually used by Hargeisa merchants.

6. Known Defects (from live QA pass) — fix before any ministry demo

1. Tax rate displays 5%; must show reformed 2.5% (implement via config per 2.1)
2. Products page data-query bug
3. Create-action inconsistency in the Pharmacy module

7. Open Questions — for the Hargeisa Team to Resolve

1. What is the amended GST scope? Does the reform extend GST to retail/wholesale supplies, and from what date?
2. Is the electronic collection model a hardware fiscal-device mandate, an e-invoicing API, or both? Is there a certification process for POS software?
3. Who are the contracted collection vendors, and is a technical integration specification available to third parties?
4. Has Form 09 been revised for the new regime? Obtain the current form and completion guidelines from any IRD office.
5. Are there transitional rules for August 1 (e.g., grace periods, phased enforcement by taxpayer size)?
6. What are the amended registration thresholds, if changed?

8. Two-Week Sequencing

Week 1 — compliance hardening: fix the three QA defects; make the rate configurable at 2.5%; implement exemption categories (2.6) and taxable-service flags (2.7); complete the receipt audit against the seven invoice particulars (2.2); build Form 09 auto-generation (2.4).

Week 2 — demo readiness: implement the fiscalization stub adapter (4); verify offline behavior and Somali locale on target hardware (5); load realistic Hargeisa demo data (SLSH/USD pricing, ZAAD/eDahab tenders); run the demo with at least five real merchants via the sales team; rehearse the three-minute demo path: sale → correct GST → compliant receipt → one-button Form 09.